

TRUSTMRR DATASET // MARKET INTELLIGENCE BRIEF

What Does the TrustMRR Dataset Reveal?

An analysis of 1,000 startups across category mix, recurring revenue, and asking-price valuation.

1,000

Startups Analyzed

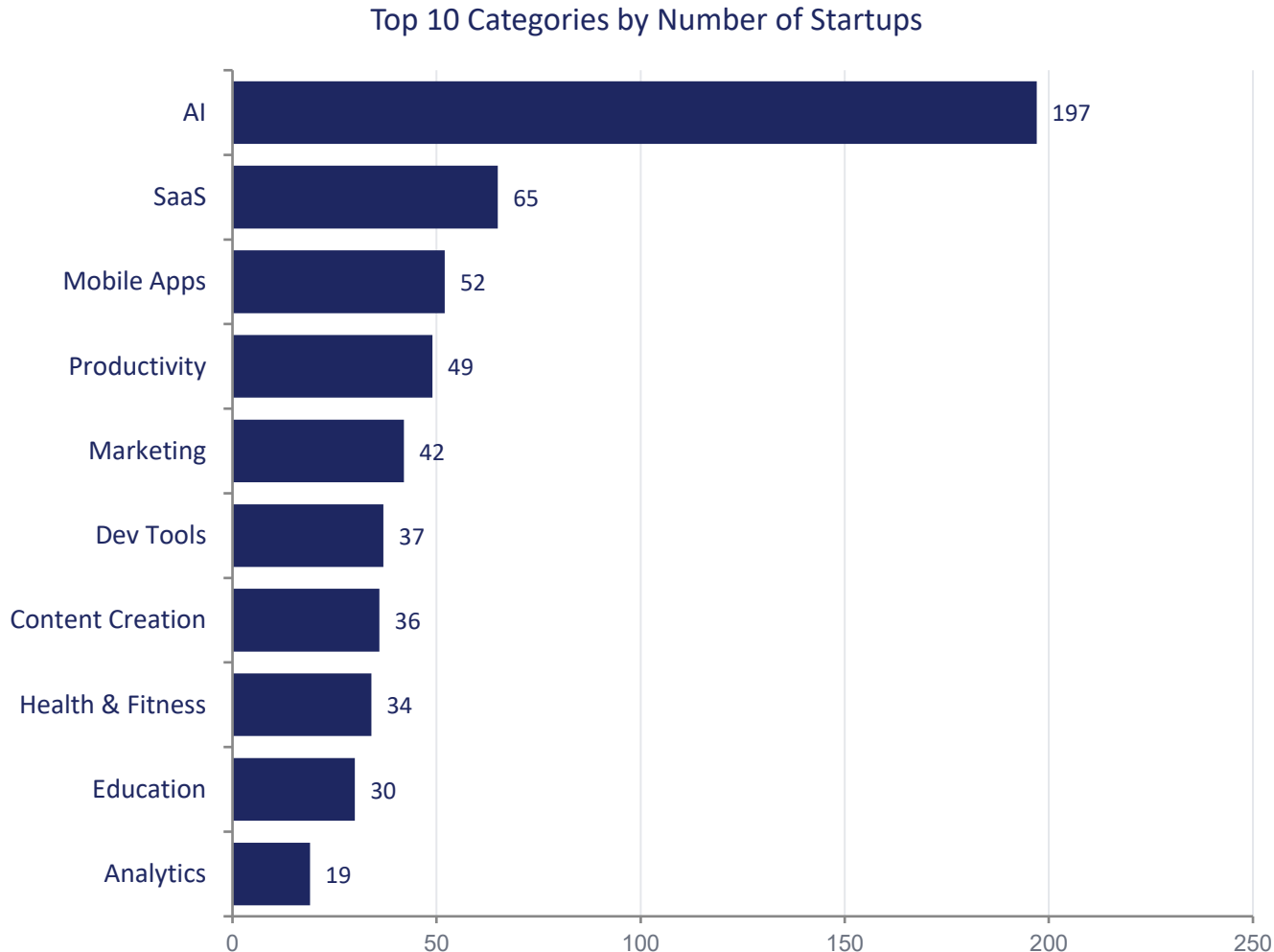
10+

Categories Covered

3

Core Metrics: Category, MRR, Asking Price

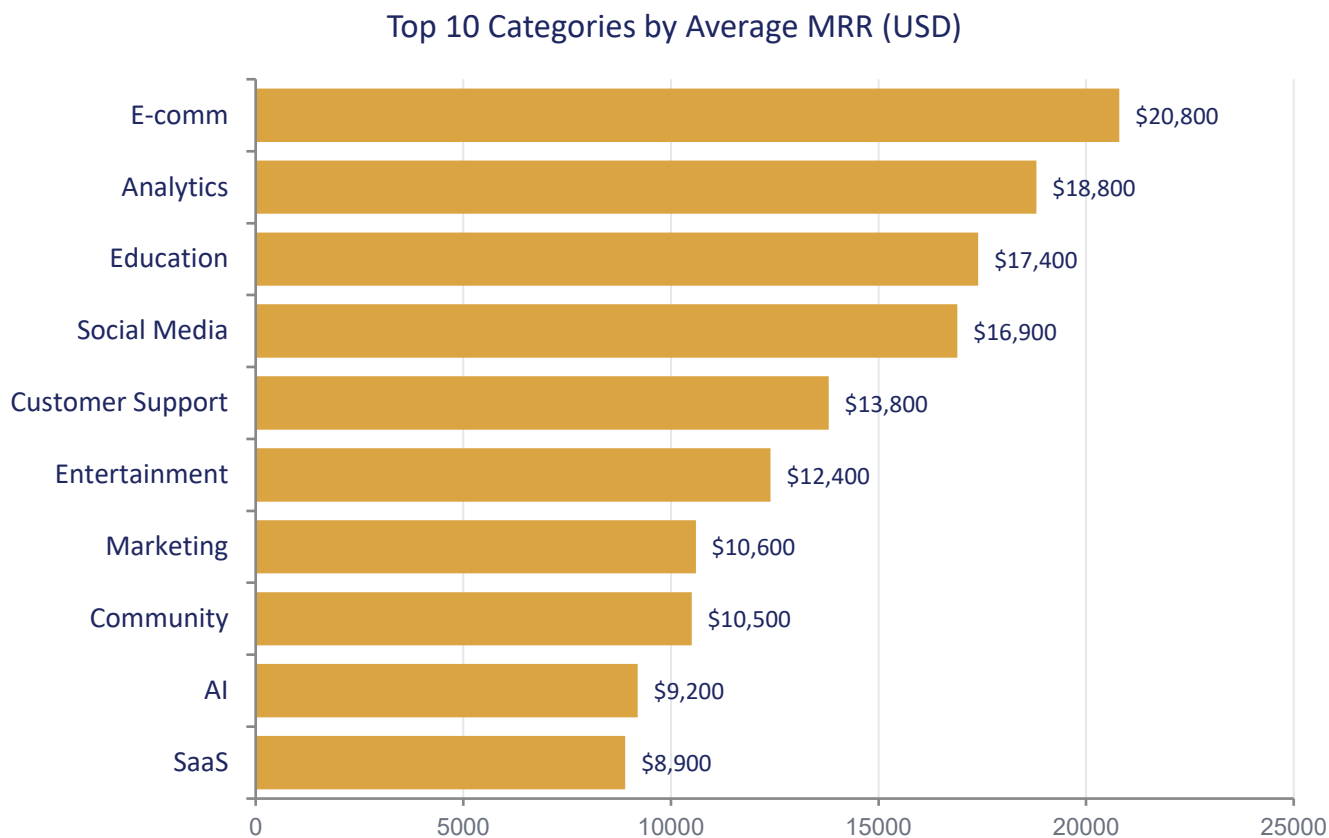
AI Dominates Startup Activity, But Competition Runs Highest There Too



AI is the most crowded startup category — competitive pressure is likely highest here too.

- AI represents the largest share of startups in the dataset, nearly 3x the next category.
- SaaS is the second-largest segment, reaffirming the strength of subscription-based businesses.
- Highly populated categories signal strong market demand but heightened competitive pressure.
- Niche categories (e.g. Analytics, Education) may offer lower competition and differentiated growth paths.

Popularity Doesn't Equal Revenue



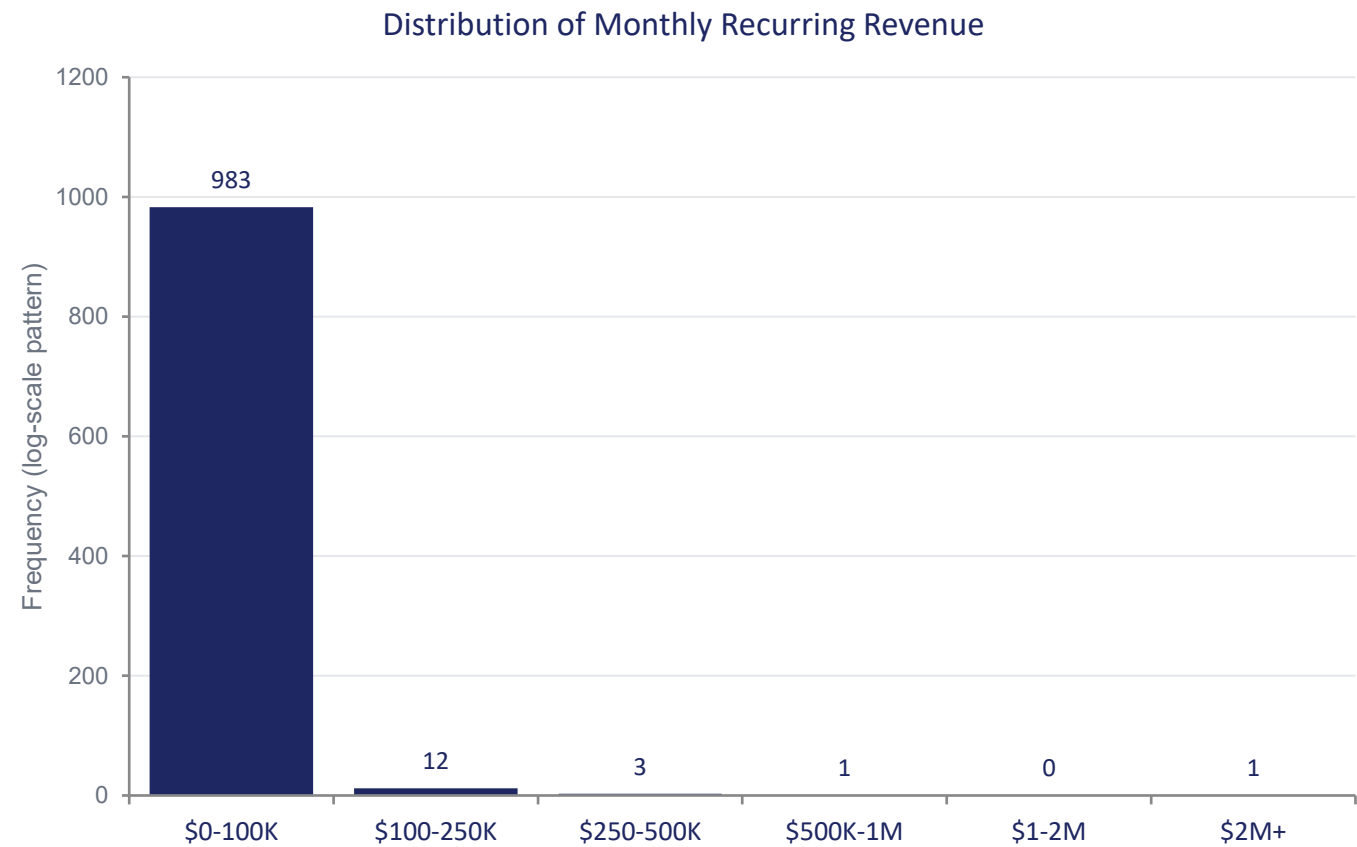
E-commerce startups outperform AI in recurring revenue generation.

- E-commerce records the highest average Monthly Recurring Revenue (MRR) of any category.
- Analytics and Education also outperform AI on average revenue per startup.
- Despite having the largest number of startups, AI ranks much lower in average MRR.
- This suggests many AI startups are still in early-stage growth rather than mature monetization.

BUSINESS TAKEAWAY

Investors should prioritize revenue quality over market popularity.

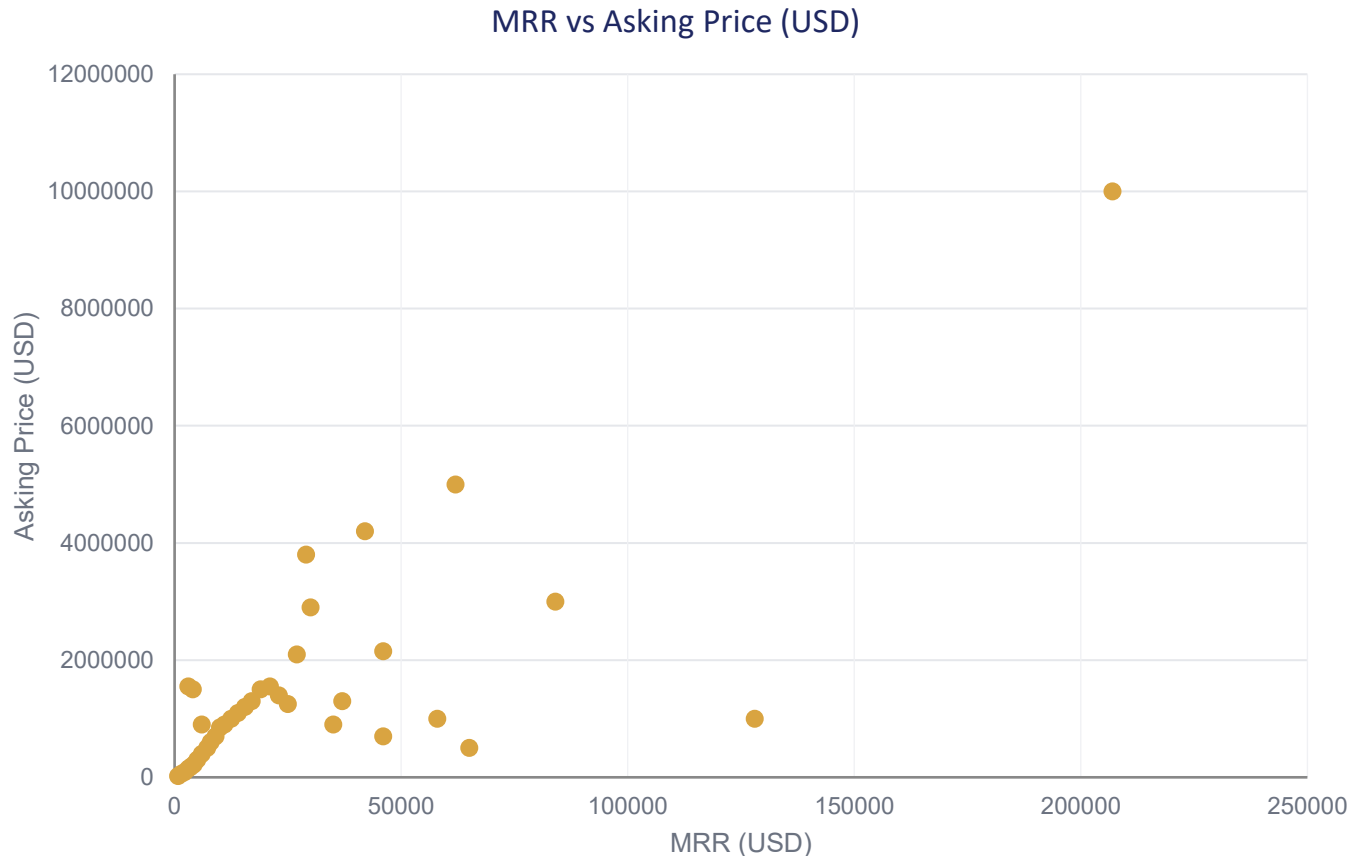
Startup Revenue Follows a Power Law



A small number of startups generate a disproportionate share of recurring revenue.

- The MRR distribution is heavily right-skewed across the dataset.
- The vast majority of startups operate at relatively low recurring-revenue levels.
- Only a handful of outliers achieve exceptionally high MRR, up to the millions.
- This “winner-takes-most” pattern is typical of venture-backed ecosystems.

Revenue Strongly Influences Valuation — But Not Completely



Higher recurring revenue generally translates into higher startup valuation.

- Asking price generally increases with MRR across the dataset.
- Some startups command higher valuations than peers with similar revenue — investors likely also weigh growth potential, market position, and profitability.
- Outliers point to opportunities to identify overvalued or undervalued businesses.

Managerial Implications

1 For Founders

- Entering AI means entering the most contested field — differentiate on monetization, not just technology.
- Prioritize converting usage into recurring revenue early; category alone will not carry valuation.
- Study high-MRR categories (E-comm, Analytics, Education) for playbooks on monetization.

2 For Investors

- Startup count is a weak proxy for return potential — weight diligence toward realized MRR.
- Expect a concentrated portfolio outcome: a small share of holdings will drive most returns.
- Flag valuations that diverge sharply from the MRR-to-asking-price trend for deeper review.

Three Takeaways from the TrustMRR Dataset

01

Key Finding 1

AI dominates startup creation, but not revenue generation.

02

Key Finding 2

Revenue is concentrated among a small percentage of firms.

03

Key Finding 3

MRR is the strongest observable driver of valuation, though qualitative factors still matter.